

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

THOMPSON PIPE GROUP, INC., *Complainant*

v.

OMNI LOGISTICS LLC, *Respondent*.

DOCKET NO. 22-31

Served: February 24, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON MOTION TO AMEND COMPLAINT AND MOTION TO DISMISS

I. Introduction and Procedural Background

On November 29, 2022, a Notice of Filing of Complaint and Assignment (“Notice”) was issued for this proceeding by the Federal Maritime Commission (“FMC” or “Commission”), stating that Thompson Pipe Group, Inc. (“TPG”), also referred to as TPG Pressure Inc., had filed a complaint against Omni Logistics, LLC (“Omni”). TPG alleges unjust and unreasonable practices in connection with billing demurrage and other charges in violation of the Shipping Act of 1984 (“Shipping Act”).

On January 24, 2023, Omni filed a motion to dismiss TPG’s complaint (“Dismissal Motion”). On February 9, 2023, TPG filed a combined response to the motion to dismiss and cross-motion for leave to amend the complaint (“Dismissal Opposition and Amended Complaint Motion”), to which it attached the proposed amended complaint, which added new allegations and a new Respondent, Epic Freight Solutions LLC (“Epic”). On February 17, 2023, Omni filed a combined reply to the dismissal motion and response to the amended complaint motion (“Dismissal Reply and Amended Complaint Response”).

For the reasons set forth below, TPG’s motion to file the amended complaint is granted and Omni’s motion to dismiss is denied as moot. By copy of this order, the Office of the Secretary is requested to serve the amended complaint. Both Respondents must file a response to the amended complaint within 25 days after the date of service, and the parties shall file a joint status report within twenty days of the answer, as required by the initial order.

II. Motion for Leave to Amend the Complaint

A. Arguments of the Parties

The amended complaint changes the name of Complainant, refines allegations, adds new allegations, and adds another Respondent. TPG asserts that under Federal Rule of Civil

Procedure 15(a)(1)(B), a party may amend its pleading once as a matter of course and under Federal Rule 15(a)(2), leave to amend a complaint should be freely given when justice so requires. Dismissal Opposition and Amended Complaint Motion at 14.

In response, Omni states that it does not oppose TPG's motion for leave to amend but that it reserves the right to raise the motion to dismiss arguments in response to the amended complaint. Dismissal Reply and Amended Complaint Response at 2.

B. Discussion

Commission Rule 66(a) provides in pertinent part that amendments "will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issue, without opportunity to reply to such amended pleading and to prepare for the broadened issues." 46 C.F.R. § 502.66(a).

The Commission's Rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), "a party may amend its pleading once as a matter of course" within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with the opposing party's written consent or leave of court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

The amended complaint addresses some of the issues raised by Omni in its dismissal motion, clarifies allegations, and revises the parties. There are no grounds under the Federal Rules warranting denial of the proposed amendment and Omni does not oppose it. TPG will thus be allowed to amend its complaint.

By this order, the Office of the Secretary is requested to serve the amended complaint. In addition, the parties must file a joint status report with proposed schedule as required by the initial order within twenty days of filing of the answer.

III. Motion to Dismiss

Omni moves to dismiss TPG's complaint on the grounds that the Commission lacks subject matter jurisdiction over this dispute because Omni did not perform any "common carrier" services on behalf of Complainant; count I does not state a claim that is plausible because it alleges overbilling that arose after the shipments had been completed; and Count II should be dismissed because it alleges a violation that was not in effect during the relevant times. Dismissal Motion at 5-16.

The Omni motion to dismiss is based on the allegations in the original complaint. Omni's motion to dismiss the complaint is now moot, given that TPG has been granted leave to amend its complaint and the amended complaint supersedes the original complaint. Respondents' motion to dismiss is, therefore, denied. However, the arguments, which may apply to the amended complaint, are addressed briefly below to provide guidance and avoid unnecessary motions practice.

The complaint alleges that Respondent violated section 41102(c) of the Shipping Act, which states: "A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). The motion requests dismissal based on subject matter jurisdiction, section 41102(c) elements, and retroactivity. Each argument is briefly discussed below.

A. Subject Matter Jurisdiction

Omni asserts that neither "Epic nor Omni ever issued an ocean bill of lading to Complainant or directly arranged for a single ocean shipment of goods" and that "Omni did not act as a common carrier with respect to any of Complainant's shipments." Dismissal Motion at 10. TPG asserts that both Omni and Epic are NVOCCs and that Omni was retained by TPG to provide transportation services, including international ocean transport. Dismissal Opposition and Amended Complaint Motion at 4-6.

Respondents may raise a factual, as well as a facial, attack in a Federal Rule 12(b)(1) motion to dismiss for lack of subject matter jurisdiction. *Mitsui O.S.K. Lines Ltd v. Global Link*, Dkt. 09-01, 2011 FMC Lexis 12, at *25 (FMC Aug. 1, 2011). However, if the jurisdictional inquiry is bound up with the merits, a full trial on the merits may be necessary. *Osborn v. United States*, 918 F.2d 724, 730 (8th Cir. 1990); *Crawford v. United States*, 796 F.2d 924 (7th Cir. 1986). Therefore, where a claim arises out of a common nucleus of operative facts, the Commission has jurisdiction. *TCW, Inc., v. Evergreen Shipping Agency (Am.) Corp.*, Docket No. 1966(I), 2022 FMC LEXIS 589, at *5-6 (FMC Dec. 29, 2022).

It appears that Respondents are regulated entities. The complaint alleges violations of the Shipping Act for international transportation of cargo via ocean common carriage. The Respondents may contest whether they operated as NVOCCs on these shipments, however, that issue has a common nucleus of operative facts and is bound up with the merits of the proceeding. Therefore, there does not appear to be any reason to dismiss the proceeding for lack of subject matter jurisdiction.

B. Section 41102(c) Elements

Omni asserts that TPG does not allege that the conduct was engaged in on a normal, customary, and continuous basis and that alleged overbilling arose after the shipments had been completed and therefore was not connected to the handling, storage, or delivery of property. Dismissal Motion at 13-14. TPG contends that Omni's practices lasted from November 2021 to October 2022 and applied to at least 227 containers, and that it has alleged numerous instances of unjust and unreasonable practices. Dismissal Opposition and Amended Complaint Motion at 7-9.

The complaint alleges that the practices at issue applied to over two hundred containers which is sufficient to allege a normal, customary, and continuous basis. The complaint's allegation that the practices at issue denied TPG the ability to receive the cargo timely and without additional fees is sufficient to allege a connection to the handling, storage, or delivery of property. Therefore, the amended complaint appears to sufficiently allege a violation of section 41102(c). Allowing the case to proceed to discovery will allow the parties to uncover evidence pertinent to the elements of a section 41102(c) claim.

C. Retroactivity

Omni asserts that the vast majority of invoices were issued after enactment of the Ocean Shipping Reform Act ("OSRA"), which cannot be applied retroactively. Dismissal Motion at 15-16. TPG contends that the new rule does not depart from the Interpretive Rule on Demurrage and Detention and that OSRA should be applied retroactively. Dismissal Opposition and Amended Complaint Motion at 9-12.

Sections 41102(d), 41104(a)(14), and 41104(a)(15) were created by OSRA and may only apply to invoices issued after June 16, 2022. However, the other alleged violations, including section 41102(c) and Commission Regulations, would apply to all of the allegations. Moreover, the conduct identified by OSRA may be relevant to determining the reasonableness of rules and practices.

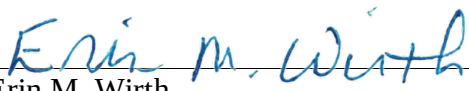
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that the motion for leave to amend the complaint be **GRANTED**. The Secretary is requested to serve the amended complaint. Respondents must respond to the amended complaint within 25 days of service of the amended complaint. It is

FURTHER ORDERED that Respondent's motion to dismiss be **DENIED AS MOOT**. It is

FURTHER ORDERED that the parties shall submit a joint status report with proposed schedule within twenty days of service of Respondents' answer.


Erin M. Wirth
Chief Administrative Law Judge